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Case Number: 25STCV28623 Hearing Date: August 19, 2026 Dept: 514

Compton v. General Motors, LLC

25STCV28623

Defendant's Demurrer

Defendant's Motion for Compliance With Initial Disclosure Requirements

Tentative Ruling

The demurrer is overruled.

The motion for compliance is granted. Defendant's request for sanctions is granted.

Background

This case arises out of the purchase of a 2023 Chevrolet Colorado (the "Vehicle") by Robert D. Compton III and Racquel A. Compton ("Plaintiffs") in June 2023.

On September 30, 2025, Plaintiffs filed the complaint in this action against General Motors, LLC ("Defendant") and Does 1 through 10.

On March 23, 2026, Plaintiffs

filed a First Amended Complaint (the "FAC"), asserting causes of action for: (1) violation of subdivision (d) of Civil Code section 1793.2; (2) violation of subdivision (b) of Civil Code section 1793.2; (3) violation of subdivision (a)(3) of Civil Code section 1793.2; (4) breach of the implied warranty of merchantability (Civil Code sections 1791.1, 1794, & 1795.5.); and (5) fraudulent inducement – concealment.

Currently before the Court and set for hearing on August 19 are two matters.

First, on May 13, 2026, Defendant filed demurrer to the FAC. Plaintiffs filed an opposition on June 22, and Defendant filed a reply on June 26.

Second, on June 9, 2026, Defendant filed a motion to compel compliance with the initial disclosure requirements of Code of Civil Procedure section 871.26. Defendant also seeks sanctions. Plaintiffs filed an opposition on June 22, along with their own request for sanctions, and Defendant filed a reply on June 26.

The hearings on both matters were initially set for July 6 and were continued by the Court.

Trial is set for January 10, 2028.

Legal Standard

Demurrer

Code of Civil Procedure section 430.10 provides:

"The party against whom a complaint or cross-complaint has been filed may object, by demurrer or answer as provided in Section 430.30, to the pleading on any one or more of the following grounds:

…

(e) The pleading does not state

facts sufficient to constitute a cause of action. ...”

A general demurrer under Code of Civil Procedure section 430.10, subdivision (e), tests whether the complaint states a cause of action. (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388; Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747; see also 1 Weil & Brown, California Practice Guide: Civil Procedure Before Trial [2025], ¶ 7:40.)

“We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law. We also consider matters which may be judicially noticed.” (Centinela Freeman Emergency Medical Associates v. Health Net of California (2016) 1 Cal.5th 994, 1010; Blank v. Kirwan (1985) 39 Cal.3d 311, 318; accord Yvanova v. New Century Mortgage Corp. (2016) 62 Cal.4th 919, 924; Marina Pacific Hotel and Suites v. Fireman’s Fund Insurance Company (2022) 81 Cal.App.5th 96, 104.) All reasonable inferences must be drawn in favor of the pleading. (Schifando v. City of Los Angeles (2003) 31 Cal.4th 1074, 1081; Marina Pacific Hotel and Suites, supra, 81 Cal.App.5th at p. 104.) Even “improbable” facts alleged in the pleading must be accepted as true. (Marina Pacific Hotel and Suites, supra, 81 Cal.App.5th at pp. 104-105.)

Courts must “liberally construe the pleading” and “give the complaint a reasonable interpretation, reading it as a whole and its parts in context.” (Id. at p. 105.)

A complaint must contain a “statement of facts constituting the cause of action, in ordinary and concise language.” (Code Civ. Proc., § 425.10, subd. (a)(1); see also C.A. v. William S. Hart High School Dist. (2012) 53 Cal.4th 861, 872 [“the complaint need only allege facts sufficient to state a cause of action”].) Ordinarily, a complaint “is sufficient if it alleges ultimate rather than evidentiary facts.” (Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 550.) Ultimate facts are those upon which “the right to recover depends” and are “essential” to the cause of action. (Estes v. Eaton Corp. (2020) 51 Cal.App.5th 636, 643 fn. 2; see also 1 Weil & Brown, supra, ¶ 6:124.)

A plaintiff is required to plead only "the essential facts of [its] case" that are sufficient "to acquaint a defendant with the nature, source and extent of [the] cause of action." (Doe, supra, 42 Cal.4th at p. 550.) Mere boilerplate or pleading of legal conclusions is not sufficient. (Id. at p. 551 fn. 5.) But a plaintiff need not allege "each evidentiary fact that might eventually form part of plaintiff's proof" at trial. (C.A., supra, 53 Cal.4th at p. 872.)

A demurrer can be sustained only when it disposes of an entire cause of action. (Poizner v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 119; Kong v. City of Hawaiian Gardens Redev. Agency (2003) 108 Cal.App.4th 1028, 1046.)

Leave to amend should be granted when "there is a reasonable possibility that the defect can be cured by amendment." (Centinela Freeman, supra, 1 Cal.5th at p. 1010; Blank, supra, 39 Cal.3d at p. 318; Shaeffer v. Califia Farms (2020) 44 Cal.App.5th 1125, 1145.)

Motion to Compel Compliance

In civil actions seeking restitution or replacement of a motor vehicle, Code of Civil Procedure section 871.26 provides (among other things):

"(c) Within 120 days after the filing of the answer or other responsive pleading, all parties have the right to conduct initial depositions, each not to exceed two hours, of the following deponents:

(1) The plaintiff.

(2) The defendant, and if the defendant is not a natural person, the person who is most qualified to testify on the defendant's behalf. ….

…

(j) Unless the party failing to comply with this section shows good cause, notwithstanding any other law and in addition to any other sanctions imposed pursuant to this chapter, a court shall impose sanctions as follows:

…

(2) A one-thousand-five-hundred-dollar ($1,500) sanction against the plaintiff's attorney or two-thousand-five-hundred-dollar ($2,500) sanction against the defense attorney respectively, paid within 15 business days for failure to comply with the provisions relating to depositions as prescribed in subdivision (c).

…"

Discussion

DEMURRER

As an initial matter, the parties have complied with the statutory meet-and-confer requirement. (Perez Decl., ¶ 2.)

Defendant demurs to Plaintiffs' Fifth Cause of Action (for fraudulent inducement – concealment) on the following grounds: (1) Plaintiffs fail to allege a sufficient factual basis to give rise to a duty to disclose (Mem., at pp. 9-15); and (2) the fraud cause of action is barred by the Economic Loss Rule (Mem., at pp. 15-17).

Duty to Disclose

"One who willfully deceives another with intent to induce him to alter his position to his injury or risk, is liable for any damage which he thereby suffers." (Civ. Code, § 1709.)

The Civil Code recognizes four types of fraud: (1) an intentional misrepresentation; (2) a negligent misrepresentation; (3) concealment; and (4) promissory fraud. (Civ. Code, § 1710.)

The

elements of a cause of action for fraudulent concealment are:

"(1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) plaintiff sustained damage as a result of the concealment or suppression of the material fact."

(Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 40; see also Boschma v. Home Loan Center (2011) 198 Cal.App.4th 230, 248; Blickman Turkus, LP v. MF Downtown Sunnyvale, LLC (2008) 162 Cal.App.4th 858, 868; see also Civ. Code, § 1710, subd. (3); CACI No. 1901.) "California case law … has viewed fraud by concealment on equal footing with fraud by affirmative misrepresentation." (Rattagan, supra, 17 Cal.5th at p. 39.)

A plaintiff must plead fraud with particularity. (Robinson Helicopter Co. v. Dana Corp. (2004) 34 Cal.4th 979, 993; Lazar v. Super Ct. (1996) 12 Cal.4th 631, 645; Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 184; Glaski v. Bank of America (2013) 218 Cal.App.4th 1079, 1090-1092.) This rule applies to causes of action for fraudulent concealment. As our Supreme Court has explained:

"If the duty [to disclose] allegedly arose by virtue of the parties' relationship and defendant's exclusive knowledge or access to certain facts …, the complaint must also include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) defendant's awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant's omission."

(Goodman v. Kennedy (1976) 18 Cal.3d 335, 347.) "[M]ere conclusionary allegations that the omissions were intentional and for the purpose of defrauding and deceiving plaintiff[ ] ... are insufficient."

(Ibid; see also Rattagan, supra, 17 Cal.5th at pp. 43-44.)

Fraudulent concealment is actionable only when there is a duty to disclose.

"A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff's fiduciary or is in some other confidential relationship with plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment). Circumstances (3), (4), and (5) presuppose a preexisting relationship between the parties, such as between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances. Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large."

(Rattagan, supra, 17 Cal.5th at pp. 40–41 [citations omitted]; see also, e.g., Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 312; SCC Acquisitions v. Central Pacific Bank (2012) 207 Cal.App.4th 859, 860; LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 336–37.)

Defendant argues Plaintiffs' FAC fails to allege sufficient facts to give rise to a duty to disclose as Plaintiffs do not assert that they had direct dealings with Defendant. But Defendant overstates, to at least some degree, the relationship required to give rise to a duty to disclose.

California law has long recognized that a seller "has a duty to disclose material facts not only to immediate purchasers but also to subsequent purchasers when the [seller] has reason to expect that the item will be resold." (OCM Principal Opportunities Fund v. CIBC World Markets Corp. 157 Cal.App.4th 835, 859 [sale of securities]; accord Geernaert v. Mitchell (1995) 31 Cal.App.4th 601, 605-609 [real estate]; Barnhouse v. City of Pinole (1982) 133 Cal.App.3d 171, 192-193 [real estate]; cf. Restatement (Second) of Torts, § 533 [recognizing that a fraud cause of action can be based on an indirect misrepresentation].)

The requirement of a relationship giving rise to a duty to disclose is, at least as a matter of pleading, satisfied here. Liberally construing the FAC, and drawing all reasonable inferences in favor of Plaintiffs, Plaintiffs sufficiently alleges not a direct transaction with Defendant but an indirect transaction, in which Defendant manufactured or distributed the Vehicle, with the understanding and reasonable expectation that the Vehicle would be resold to consumers (such as Plaintiffs) through authorized dealers or others. (FAC, ¶¶ 4, 6, 8.) Plaintiffs allege that they purchased the Vehicle from Defendant's authorized dealer. (FAC, ¶ 8.) That is a sufficient allegation of a relationship, at least at the pleading stage.

The Court of Appeal's opinion in Bjoin v. J-M Manufacturing Co. (2025) 113 Cal.App.5th 884 is not to the contrary. There, the Court of Appeal reaffirmed and applied the general rule that there is no duty to disclose between a defendant and "the public at large." (Id., at pp. 902-904.) But that is not what Plaintiffs are alleging here. Rather, Plaintiffs allege an sufficient (but indirect) transactional relationship.

Defendant also argues that the FAC contains insufficient allegations of exclusive knowledge and improperly relies on general allegations "on information and belief." (See, e.g., (Gomes v. Countrywide Home Loans, Inc. (2011) 192 Cal.App.4th 1149, 1158–1159; but see Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1356, 1384.) The Court has reviewed the allegations in the FAC and determines that Plaintiffs have sufficiently alleged that Defendant had exclusive knowledge of the defects at issue, as well as the sources of that knowledge. (E.g., FAC, ¶¶ 54-60, 63-66, 70, 73-77.)

Economic Loss Rule

Defendant argues that Plaintiffs' fraudulent concealment cause of action is barred by the "economic loss rule" or is otherwise not sufficiently distinct from a contract or breach of warranty cause of action. Plaintiffs allege, however, that they were induced to enter into a contract based on fraudulent concealment of material facts; such a cause of action remains viable even if Plaintiffs either did allege or could have alleged a cause of action for breach of contract or breach of express warranty.
As our Supreme Court recently explained in Rattagan, "the economic loss rule does not apply to limit recovery for intentional tort claims like fraud." (Rattagan, supra, 17 Cal.5th at p. 38.) Although Rattagan does limit, to some extent, the availability of tort remedies for fraud "in the performance of a contract" (Ibid.), it does not limit tort remedies when the cause of action is "for fraudulent inducement" (Id. at p. 41.)

"Fraudulent inducement of contract … is not a context where the traditional separation of tort and contract law obtains. … [W]here a contact is secured by fraudulent representations, the injured party may elect to affirm the contract and sue for fraud."

(Id. at p. 41 [quoting Lazar, supra, 12 Cal.4th at p. 645].)

As Plaintiffs' fraud cause of action for fraudulent inducement, not fraud in the performance of a contract, the Rattagan decision affirms, rather than limits, the ability of Plaintiffs to proceed in tort on their fraudulent concealment cause of action.

The Court notes that it has reviewed, but has not relied on, the Court of Appeal decision in Dhital v. Nissan North America (2022) 84 Cal.App.5th 828. This case plainly supports the position of Plaintiff, but it is unclear whether it is good law: our Supreme Court granted review, held the case, and then dismissed the review and remanded after the decision in Rattagan, supra.

Accordingly,

the Court overrules Defendant's demurrer.

Motion to Compel Compliance

Under Code of Civil Procedure section 871.26, subdivision (c)(1), Defendant had the right to take an initial deposition of Plaintiffs (not to exceed two hours) within 120 days after the filing of Defendant's answer or other responsive pleading. Here, Defendant filed a demurrer to the initial complaint on January 30, 2026; Defendant therefore had a right to take the initial depositions by no later than 120 days, or by May 30, 2026.

Defendant noticed Plaintiffs' deposition for March 19, 2026; on March 16, Plaintiffs' counsel objected to the notice. (Stark Decl., ¶¶ 5-6.) Defendant followed up on May 18 regarding scheduling a deposition; Plaintiffs did not reply. (Stark Decl., ¶¶ 7-8.)

Plaintiffs argue that Defendant did not send meet-and-confer email correspondence to the case specific email address designated for service under Code of Civil Procedure section 1010.6 and California Rules of Court, rule 2.251. But the issue here is not proper service. The meet-and-confer correspondence was sent to several attorneys working on this matter, as well as the law firm's email address. This is sufficient.

Plaintiffs also contend that the motion is moot because on June 22, 2026, they offered three dates for their depositions. That does not moot the motion. The depositions were required to be taken on or before May 30, 2026, and nothing that happened subsequently, such as in or after June 2026, can change the reality that Plaintiffs failed to comply with the statutory deadline.

The motion to compel is granted. The request for sanctions is granted. Good cause to depart from the mandatory sanctions required by statute has not been shown.

Conclusion

The

Court OVERRULES the demurrer of Defendant General Motors, LLC to the First Amended Complaint

Defendant
General Motors, LLC is to file an answer or otherwise responsive pleading by September 2, 2026.

The
Court GRANTS the motion to compel compliance with Code of Civil Procedure section 871.26, subdivision (c)(1).

The
Court ORDERS Plaintiffs to appear for deposition on or before are ordered to appear for deposition on or before September 16, 2026, at a date and time that to be determined by the parties.

The
Court ORDERS Plaintiffs' counsel of record Jana Perks, Esq., to pay monetary sanctions under Code of Civil Procedure section 871.26, subdivision (j)(2) in the amount of $1,500 to Defendant General Motors, LLC (through counsel) by no later than September 3, 2026.

Defendant is ordered to give notice.